

MK FRAUD READINESS

Board readout

Fraud Readiness Strategy and Control Blueprint · Kestrel Industrial Supply (Pty) Ltd

Decision context

Approve accountable executive mandates and escalation authority for priority remediation.

Recorded position, bounded clearly

This report provides strategic fraud-risk analysis and control design based on management's recorded Fraud Readiness assessment responses. It does not independently verify operating effectiveness.

Readiness 55 / 100	Maturity Developing	Exposure Not scored	Material findings 15 deterministic findings
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Board reading: treat the score as the recorded assessment result; use the blueprint to decide treatment and target state.

Exposure concentrates in linked conditions

Fraud Leadership and Governance: Management owns fraud risk, while internal audit or assurance functions provide independent review where they exist.

This recorded weakness affects a methodology hard gate and must be remediated before relying on the aggregate maturity result.

Target direction: The CEO and audit-committee chair must approve a RACI that assigns control operation to management and risk owners, reserves independent testing and unrestricted reporting for internal audit or equivalent assurance, and requires annual conflict review; the company secretary retains the approved RACI and minutes.

Fraud Incident Response: Evidence linked to suspected fraud is identified, preserved and handled appropriately.

This recorded weakness affects a methodology hard gate and must be remediated before relying on the aggregate maturity result.

Target direction: The investigation lead opens an evidence register for every material case; trained custodians identify sources, create forensic copies or sealed originals, record hashes/seal numbers, collector/time/location and every transfer, store evidence in access-controlled repositories, and escalate any custody break immediately to Legal.

Digital and Identity Fraud Access to sensitive digital systems, administrator rights and confidential data is restricted and reviewed.

This recorded weakness affects a methodology hard gate and must be remediated before relying on the aggregate maturity result.

Target direction: IT Security maintains a complete privileged-account register, links each human and service account to an owner and approved justification, enforces separate named admin identities and MFA, records privileged sessions, and sends the full population quarterly to system owners and Risk for independent keep/remove certification; removals close within 24 hours for leavers and five business days otherwise.

Fraud Detection Capability: The organisation monitors transactions or operational activity for unusual patterns, anomalies or red flags.

This recorded weakness affects a methodology hard gate and must be remediated before relying on the aggregate maturity result.

Target direction: The monitoring owner must define red-flag indicators per material process — duplicate payments, round-value patterns, out-of-hours activity, unusual volume by user, adjustments reversing prior entries, and supplier or customer concentration — run them against the complete transaction population on a set rhythm, and route output into the exception queue with designated control owners and SLAs; coverage against the process fraud maps is reported to the fraud forum.

Management implication

03 / 07 · Interpretation

Plausible scenarios show the pathways to manage

Without deliberate monitoring, fraud is found only by accident, complaint or external notification, typically long after the loss has compounded

The recorded control condition is engaged through Fraud Detection Capability: The organisation monitors transactions or operational activity for unusual patterns, anomalies or red flags. → Misuse can occur when an actor exploits the recorded control condition and without deliberate monitoring, fraud is found only by accident, complaint or external notification, typically long after the loss has compounded.

Warning: A material process unmonitored, or a monitoring cycle missed without escalation.; An exception, access, approval or incident record that cannot be reconciled to the complete in-scope population. · Containment: Escalate to CFO / COO, preserve relevant records and apply the control's escalation threshold: A material process unmonitored, or a monitoring cycle missed without escalation.

Controls decay quietly through staff turnover, system change and workload pressure, so a control believed to be operating may have lapsed months earlier

The recorded control condition is engaged through Continuous Improvement and Fraud Risk Monitoring: The organisation periodically reviews its fraud risks and control environment. → Misuse can occur when an actor exploits the recorded control condition and controls decay quietly through staff turnover, system change and workload pressure, so a control believed to be operating may have lapsed months earlier.

Warning: An exception, access, approval or incident record that cannot be reconciled to the complete in-scope population.; Review overdue, or a key control found lapsed with no remediation owner. · Containment: Escalate to CEO / Managing Director, preserve relevant records and apply the control's escalation threshold: Review overdue, or a key control found lapsed with no remediation owner.

Without a current structured assessment, control investment follows intuition and recent events, leaving whole exposure areas unexamined and unfunded

The recorded control condition is engaged through Fraud Risk Identification: The organisation has completed a structured fraud risk assessment within the past two years. → Misuse can occur when an actor exploits the recorded control condition and without a current structured assessment, control investment follows intuition and recent events, leaving whole exposure areas unexamined and unfunded.

Warning: An exception, access, approval or incident record that cannot be reconciled to the complete in-scope population.; Assessment older than 24 months, or any unacceptable residual risk without a funded owner and due date. · Containment: Escalate to CEO / Managing Director, preserve relevant records and apply the control's escalation threshold: Assessment older than 24 months, or any unacceptable residual risk without a funded owner and due date.

Target controls make ownership and proof explicit

Close the material control weakness recorded for "Management owns fraud risk, while internal audit or assurance functions provide independent review where they exist".

Owner: CEO / Managing Director · Process: Head of Risk and business control owners

Measure: No key fraud control is both operated and independently certified by the same accountable function. · Failure response:

Close the material control weakness recorded for "Evidence linked to suspected fraud is identified, preserved and handled appropriately".

Owner: General Counsel / COO · Process: Investigation lead / Evidence custodian

Measure: 100% of sampled material-case evidence has a complete custody trail and matching integrity check. · Failure response:

Close the material control weakness recorded for "Access to sensitive digital systems, administrator rights and confidential data is restricted and reviewed".

Owner: Chief Technology Officer · Process: Identity and Access Management

Measure: 100% privileged accounts recertified quarterly; leaver access removed within 24 hours; zero unjustified shared admin accounts. · Failure response:

Close the material control weakness recorded for "The organisation monitors transactions or operational activity for unusual patterns, anomalies or red flags".

Owner: CFO / COO · Process: Fraud monitoring owner

Measure: Monitoring covers all material processes on rhythm with reconciled population totals and routed output. · Failure response:

Decisions unlock the sequence

Approve accountable executive mandates and escalation authority for priority remediation.

Hard-gate, governance and maturity-limiting controls require authority to allocate resources and resolve blockers.

RECOMMENDATION: NAME ONE ACCOUNTABLE EXECUTIVE PER LINKED CONTROL AND APPROVE A 30-DAY ESCALATION ROUTE.

OWNER

CEO / Managing Director

TARGET · 30 DAYS

Choose and record remediation rather than passive acceptance for Critical and High risks.

Plausible consequence pathways require an explicit leadership treatment decision.

RECOMMENDATION: APPROVE LINKED TREATMENTS; ANY TEMPORARY ACCEPTANCE MUST NAME AN OWNER, EXPIRY AND COMPENSATING CONTROL.

OWNER

CEO / Managing Director

TARGET · 30 DAYS

Approve exact question-level control designs as the minimum implementation standard.

Functions need one design baseline rather than independent interpretations of the findings.

RECOMMENDATION: ADOPT THE CONTROL-IMPROVEMENT REGISTER; DEVIATIONS REQUIRE DOCUMENTED OVERSIGHT APPROVAL.

OWNER

CEO / Managing Director

TARGET · 30 DAYS

Keep the target state visible

Control completion

Owner, population, frequency, proof and effectiveness measure.

Action ageing

Open, blocked and overdue actions by accountable executive.

Risk movement

Priority exposures, scenario indicators and residual risk.

Decision status

Selected option, consequence of delay and next checkpoint.

Next checkpoint

Bring the completed proof requirements, action-ageing view and scorecard measures to the next management or board checkpoint.

Owner review candidate — not market ready.